28 May 2026 17:57:44 ET | 23 pages

European Rates Weekly

One brings two

Flagship

CITI'S TAKE

With the ECB set to hike in June, Bunds are unlikely to be able to rally much beyond 2.85% even with any confirmation of a breakthrough in the Middle East. More likely, one ECB hike brings two with 3% proving an enduring anchor for Bunds look set to remain in a tight range in H2. In € curve we argue that despite the bearish outlook for vol, 5s10s30s is unlikely to tighten significantly. In SSAs, we look at the attractiveness of curve extension trades through a simple framework normalizing the extension yield pick-up for the increase in duration.

€ duration: limited space to rally — We believe an ECB hike in June is now a near done deal and likely limits the potential for Bunds to rally beyond 2.85% even if a breakthrough in the Middle East is confirmed. However, one hike likely brings two (with any normalisation of energy supply likely to take time), and then a long hold seems most likely. That's consistent with Bunds remaining well anchored at 3% for the rest of 2026 with likely tight ranges making 3.1% the ongoing buying opportunity.

€ curve: Why receiving € 5s10s30s is the best low vol hedge – just not now — The drop in vol since over the past ten days flashes green light for richer duration and steeper curves: we look at systematic carry strategies over the last 4 ½ years and find that 5s10s30s has outperformed once the information content of the size (rather than just the sign) of the 3mF-S spread is accounted for. 5s10s30s also maximizes exposure to implied vol at both MtM and fair value frequencies. Its current richness is the key reason why we don't see compelling risk-reward in receiving it despite the increasing likelihood of an Iran deal weighing on the outlook for gamma.

SSAs — SSAs have remained in a tight range versus EGBs in May, and their RV proposition to EGB investors is not the most compelling at present. However, on an outright basis they still look reasonably attractive. We assess their benchmark curves by slitting them into increments and then compare the incremental yield offered by each extension normalized by the increase in duration. Based on our analysis, the normalized yield-pick-up is currently the highest for 5-10y French agencies and the lowest for short-dated German SSAs.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

€ duration – limited space to rally

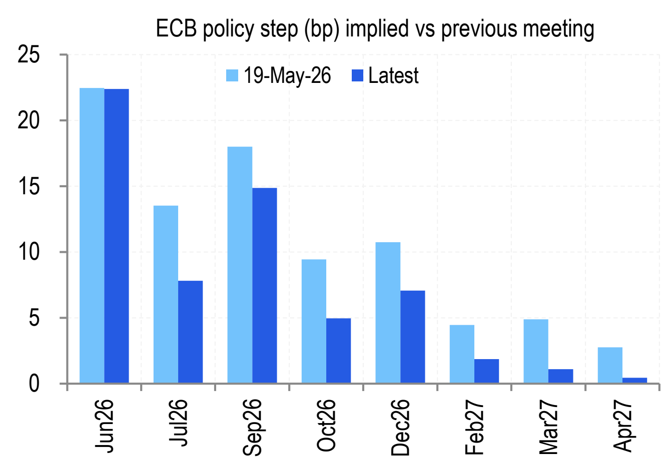
Jamie Searle

We believe an ECB hike in June is now a near done deal and likely limits the potential for Bunds to rally beyond 2.85% even if a breakthrough in the Middle East is confirmed. However, one hike likely brings two (with any normalisation of energy supply likely to take time), and then a long hold seems most likely. That's consistent with Bunds remaining well anchored at 3% for the rest of 2026 with likely tight ranges making 3.1% the ongoing buying opportunity.

Trading € rates is still about how many hikes. The interviews earlier this week from the ECB's Isabel Schnabel (saying *"I think a rate hike in June will be needed"*) and Philip Lane (*"we're likely to make a further upward adjustment to the inflation forecast in June"*) all but confirmed a 25bp hike on 11 June. How € duration, curve, cross-market performs over the coming weeks/months will depend primarily on whether this likely initial hike turns into multiple.

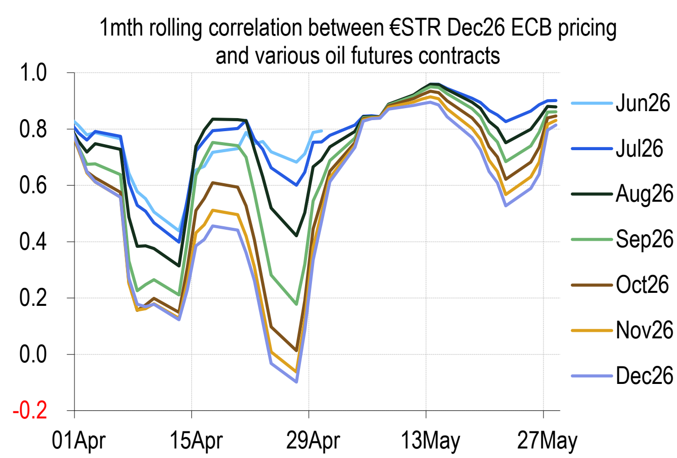
The market may be under-pricing a second hike as soon as July. The market is taking the view that the ECB is most likely to skip July and hike again in September alongside the projections – **Figure 1**. However, given the pre-emptive nature of the likely hike in June – based on signs of second round effects from the energy shock rather than realisation (with the imminent May HICP flash still too early to tell) – there seems little justification to wait (note the Citi Economics house view is for June and July). If the bar is cleared in June, it is not obvious why it wouldn't be cleared again in July given one token 25bp hike seems insufficient and given 2x25bp hikes is unlikely to face strong opposition given it is still just within the neutral range. We are exposed to this view cross-market by being received Jul26 MPC SONIA vs paid Jul26 ECB €STR (current 160.6bp, 17:00 BST 28May26).

Figure 1. The market sees dwindling chance of consecutive hikes with September most likely to follow June.



Source: Citi Research

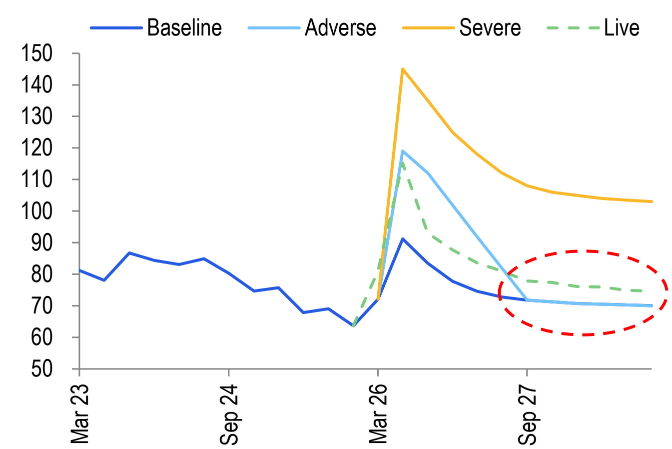
Figure 2. A growing shift in focus from spot oil volatility to the persistence of higher prices is reflected in a rising correlation between 2026 ECB hike pricing and back oil contracts.



Source: Citi Research, Bloomberg

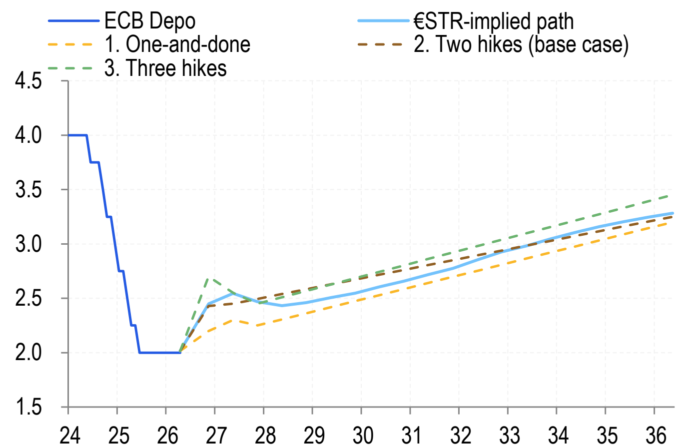
The ECB may not offer a strong signal for July, so it will likely be back to watching oil, but with a greater focus on price persistence. Despite our view above, as it stands, it seems unlikely that the ECB in June will offer another near pre-commitment to hike in July (in contrast to April when the hike debate shifted to when rather than if; see the Accounts). For sure, neither Schnabel nor Lane (see above) would be drawn on what might happen beyond June beyond offering broad support for market pricing (which reflected nearly two hikes for 2026 in the March projections and between two/three at the possible cut-off for June). While there have been some signs of a weakening beta between the € front-end and the first oil contract (likely reflecting sticky hike premium when oil prices fall – see here), the correlation remains high and has been increasing with back oil contracts – **Figure 2**. This makes sense in the context that the persistence of higher oil prices (rather than its short-term volatility) is likely to become central to monetary policy outcomes. Indeed, Schnabel stressed persistence in this week's interview noting that over longer horizons the oil futures curve sits above the adverse scenario – **Figure 3**. If it is still there ahead of the 23 July meeting, the chance of a consecutive hike is likely high regardless of ceasefire developments.

Figure 3. Regardless of any near-term breakthrough in the conflict, the chance of a consecutive hikes in June/July is likely high if oil price futures continue to sit above the ECB's adverse scenario at longer horizons.



Source: Citi Research, ECB, Bloomberg.

Figure 4. Selective ECB scenarios (all reflecting limited hikes but not a full cycle) translate to 10yr Bund 'fair value' of 1.85-3.10%, with 3% consistent with our base case.



Source: Citi Research.

Assessing the outlook for Bunds around near-term ECB scenarios: In the last couple of weeks, Bunds have rallied from the top of the 10-week range (of 2.95-3.20%) to the bottom on hopes of progress towards a US-Iran deal (potentially via a 60-day ceasefire extension). That, of course, remains central to the outlook for duration, but primarily through the lens of how many ECB hikes it likely implies (with the quantity more important than the exact timing). It is already established that even an imminent breakthrough is highly unlikely to stop at least one hike in June given the damage already done.

- **One-and-done, Bunds to 2.85%:** If it is just one-and-done, then this likely equates to Bund 'fair value' around 2.85%. Note, we assess this via building alternative risk-free curves based on near-term policy and likely long-term premium, while assuming swap spreads remain broadly stable - **Figure 4**.

- **If the ECB stops at two (base case), Bunds at 3%:** This is very close to current market pricing. The subtle difference is that the market currently prices a peak of around 65bp hike premium in early 2027 and then the forwards invert a little. In our minds, if the ECB hikes to 2.5%, the base case becomes a long hold at that level. Either way, it implies Bund 'fair value' at 3%.

- **Three hikes, Bund 'fair value' at 3.10%:** If the ECB delivers three hikes to 2.75%, there is likely some inversion in the forwards (given it is likely above neutral) and longer-term premium might be somewhat higher (noting that at the recent peak in Bunds yields on 19 May, 9y1y €STR was about 3.5%). In this case, we judge Bund 'fair value' to be 3.10%.

Trading the range into H2 with 3% Bunds the anchor: These scenarios are limited to the ECB hiking once, twice, or thrice because the most plausible near-term scenarios are for limited hikes but not a full cycle (consistent with what Philip Lane says is appropriate for a persistent but medium-sized energy supply shock). The situation may of course change. For now, however, it suggests buying any dip in Bunds to 3.1% and selling around 2.85%. This implies a tight trading range will continue into H2 with a new trend unlikely. Indeed, in our latest forecast round (see the Appendix for full table), we have stuck with 3% on average for 10yr Bunds for both 3Q26 and 4Q26 (the 4Q26 target of 3% is unchanged since our 2026 Outlook – EUR/GBP Rates publication from early December). Our base case assumes the ECB enters a long hold at 2.5% with demand destruction preventing a fuller hiking cycle and anticipation of fiscal impacts preventing the hikes being reversed.

All pricing as of 16:30 BST 28May26.

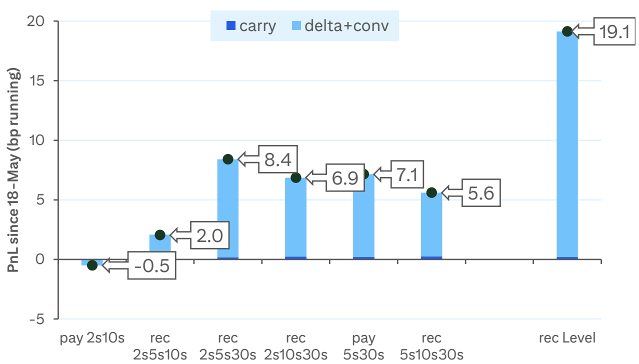
Andrea Appeddu

Why receiving € 5s10s30s is the best low vol hedge – just not now

The drop in vol since over the past ten days flashes green light for richer duration and steeper curves: we look at systematic carry strategies over the last 4 ½ years and find that 5s10s30s has outperformed once the information content of the size (rather than just the sign) of the 3mF-S spread is accounted for. 5s10s30s also maximizes exposure to implied vol at both MtM and fair value frequencies. Its current richness is the key reason why we don't see compelling risk-reward in receiving it despite the increasing likelihood of an Iran deal weighing on the outlook for gamma.

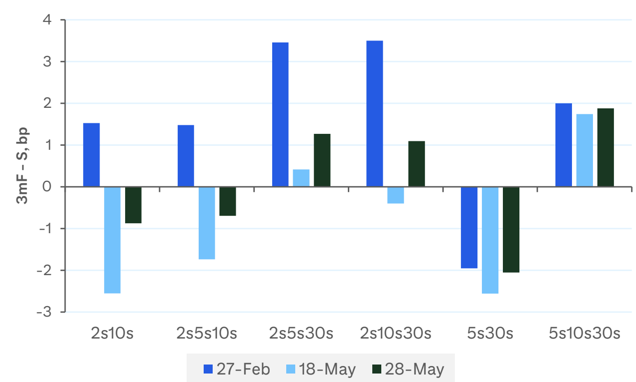
Are carry harvesters back in the game? Top-left implied vols kept sliding on Thursday to close to the cheapest since March 5 as hopes of a US-Iran accord raised hopes for carry harvesters. Indeed, outright rates have rallied (driven by the belly) and curve have steepened (with the notable exception of 2s10s) over the last 10 days (**Figure 5**), with the current 3m forward-spot roll offering some interesting buffer for both 5s30s and 5s10s30s (**Figure 6**).

Figure 5. Short-expiry implied rates vols have dropped markedly over the past 10 days, driving € duration higher, long-end steeper, and belly outperformance.



Source: Citi Research

Figure 6. 3m roll suggests that more appetite could go into 5s30s steepeners as well as 5s10s30s tighteners.

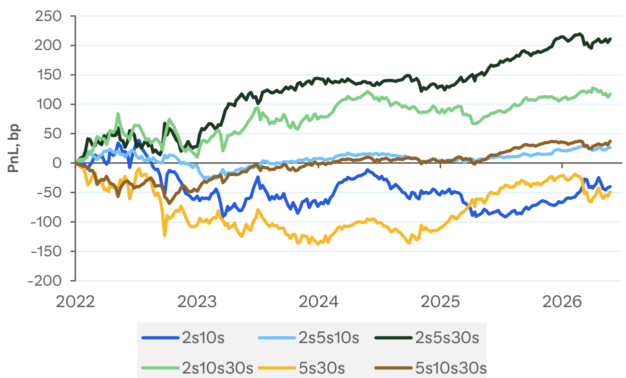


Source: Citi Research

Carry as a buffer vs carry as a signal. While our readers may be used to our approach of treating positive carry as a terminal buffer against adverse moves in the underlying curve, it can also be seen as a positioning signal whereas one receives (pay) curves with positive (negative) forward-spot roll. By rolling and marking-to-market positions at a weekly frequency, in **Figure 7** we show that 2s5s30s has outperformed other naïve carry strategies since 2022, even though there has been a substantial amount of time variation in our cross-section of curves. In the last three months, for example, 5s30s has been by far the worst performer, down nearly 20bp, while 2s10s is marginally positive.

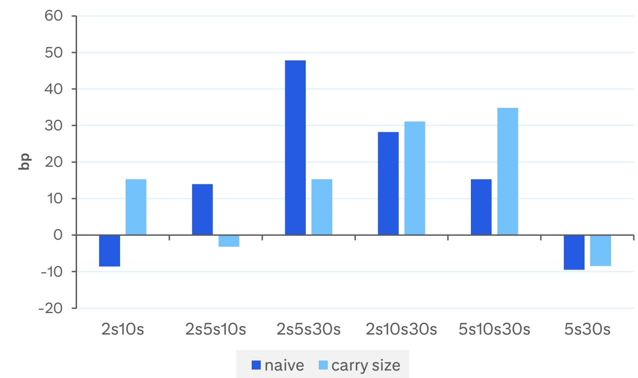
The size of the roll matters. As our naïve carry strategies depend on the sign rather than the magnitude of the 3mF-S roll, they have constant leverage over time. However, from a "carry as terminal buffer" standpoint, size matters: the larger the buffer, the lower the probability of an adverse move in the underlying curve resulting in an outright loss. Therefore, in **Figure 8** we compare our naïve carry strategy's realized returns against the PnL of strategies that take position according to the size of the underlying 3mF-S roll: for example, if today's roll for 2s10s is twice as large as a week ago, the strategy will take twice as large a position (with its sign still equal to the sign of the roll). For the sake of comparability, we normalize both strategy designs so as to target 50bp realized volatility on average over our sample. Results are mixed: 5s10s30s now becomes the best performer, followed by 2s10s30s, while 2s5s30s falls to third position, on par with 2s10s.

Figure 7. We show the cumulative PnL of naïve carry strategies based on the weekly sign of the 3mF-S roll: historically, 2s5s30s has outperformed, but in the past 3 months 2s10s has actually been the best pick.



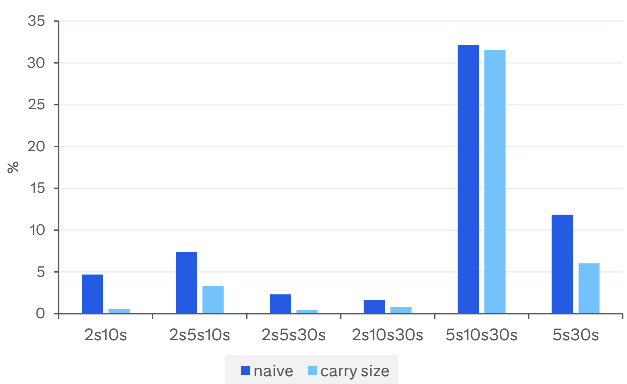
Source: Citi Research

Figure 8. We modify our naïve carry strategies by allowing position size to map the size of the 3mF-S roll. When normalizing the realized volatility of each strategy to 50bp per year, Figure 7's outperformance of 2s5s30s vanishes, while 5s10s30s and 2s10s30s become the best performers.



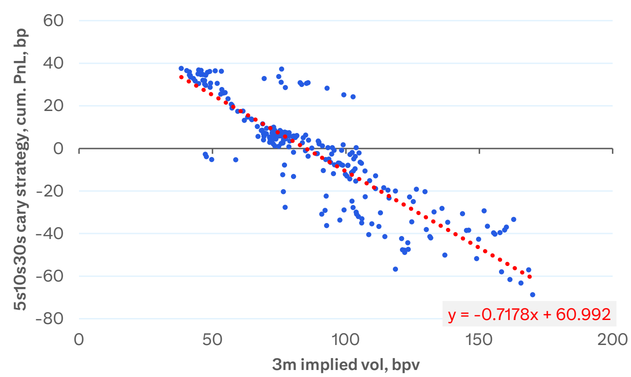
Source: Citi Research

Figure 9. We look at the historical pricing power (as gauged by weekly regression R2) of short-expiry implied volatilities for our carry strategies: 5s10s30s stands out as a gamma proxy for both naïve and carry size implementation.



Source: Citi Research

Figure 10. The relationship between a carry strategy deployed to 5s10s30s (we choose the naïve design in this case) and implied vol is also tight in levels. Given that the 3mF-S roll has been constantly positive in our sample, the relationship is indeed between curve and vol.



Source: Citi Research

Vol matters at high (MtM) frequencies… We may be interested in assessing whether the PnL of systematic carry strategies represents the compensation for exposure to an underlying risk factor: in **Figure 9** we therefore report the R2 of simple univariate quadratic regressions of our weekly carry strategies on changes in 3m implied volatility (we averaged across 2y and 10y tails). We find that the pricing power of our risk factor of choice is maximized for 5s10s30s, with no relevant difference between the naïve and "size" implementations.

… well as low (fair value) frequencies. Interestingly, the relationship between a carry strategy deployed on 5s10s30s and implied vol shows up not only at weekly frequency but also in levels, suggesting a tight co-integrating relationship (**Figure 10**). Indeed, given that the 3mF-S spread has been constantly positive in our sample, our finding is tantamount to crystallizing a tight relationship between the level of the fly and the level of implied vol. With the latter's current valuation inferring a fair level of the 3m 5s10s30s fly some 12bp cheaper than actual, we therefore fail to see compelling risk-reward from receiving the fly despite the increasing likelihood of a US-Iran deal weighing on the outlook for € gamma.

Assessing the attractiveness of € SSA curve extensions

Jussi Harju, CFA

SSAs have remained in a tight range versus EGBs in May and their relative value proposition to EGB investors is not the most compelling at present. However, on an outright basis they still look reasonably attractive. We assess their benchmark curves by slitting them into increments and then compare the incremental yield offered by each extension normalized for the increase in duration. Based on our analysis, the normalized yield pick-up is currently the highest for 5-10y French agencies and the lowest for short-dated German SSAs.

SSA-EGB spreads have been stuck in a tight range in May. Whilst rates volatility has subsided somewhat in the second half of May, SSA-EGB spreads have been stuck in a very tight 3-5bp range during the month. German agencies and Länder bonds barely moved versus Bunds (-2bp to +1bp) whilst French and Dutch agencies have traded even at a tighter range versus OATs and NETHER. Only supras have traded in a wider range versus OATs in the past month, albeit only marginally (-3bp to +4bp). Hence, German agencies and Länder remain in the 20-25bp range over Bunds (apart from KFW which trades even tighter) up to 10y on the curve, Dutch names in roughly 15-20bp range whilst in France tier 1 names offer only 5-10bp over OATs and non-tier 1 names 15-25bp (**Figure 11**). Whilst they still offer some spread over EGBs, their relative value proposition versus EGBs is not the most compelling at present.

Figure 11. SSA-EGB spreads have been stuck in a very tight range in May (current SSA-EGB spreads* and changes in the past month; bp)

	EGB spreads								Change							
									1m	1m	1m	1m	1m	1m	1m	1m
	2Y	3Y	5Y	7Y	10Y	15Y	20Y	30Y	2Y	3Y	5Y	7Y	10Y	15Y	20Y	30Y
EU	-6	-9	-18	-23	-29	-25	-20	-28	-2	-1	-1		0	-1	-1	0
EIB	-11	-13	-18	-35	-40	-53			-1	1	2	2	2	3		
EFSF	-5	-6	-8	-19	-29	-40			-3	-1	3	3	2	4		
ESM	-8	-12	-18	-31	-41				-1	1		3	3			
IBRD			-19	-33	-36		-57				3	3	3		4	
IDAWBG			-5	-19	-39	-41	-38	-36			2	3	3		4	3
COE	-1	-4	-9	-24	-35				-1	2	3	3	3			
KFW	10	11	16	19	20				-1	-1	-2	-2	-2			
RENTEN	17	17	23	22	22				-1	-1	-1	-1	-1			
NRWBK	25	22	23	28	28				-1	-1	-2	-1	-1			
NRW	20	20	23	25	25	27		31	0	0	-1	-1	0	-1		1
BERGER	23	24	24	25	24	28	27	28	-1	0	-1	-1	-1	0	1	0
HESSEN	24	23	23	27	25	32			0	-1	-1	-1	-1	-1		
NIESA	24	20	23	26	25				0	-1	0	-1	-1			
BNG	15	15	17	19	21				0	-1	-1	-1	-1			
NEDWBK		13	18	18	18		32			0	-1	-1	0		2	
FLEMSH		15	17	15	17	22	7			1	1	0	-1	0	0	
CADES	5	5	6	8					0	0	0	0				
UNEDIC		4	11	7	10					0	0	1	-1			
BPIFRA	15	16	15	16	12				-1	-1	0	0	0			
AGFRNC	20	27	26	24	24	20			0	0	1		-1	0		
KUNTA	8	5	5	3	0				-1	-1	1	2	1			
FINNVE		13	9							1	2					
KOMINS	17	16							-2	-2						
SEK					38								-4			
KBN			39								-2					

Note: * Supranational spreads are versus OATs, KOMINS, and SEK versus Bunds and rest versus respective EGBs. Pricing as of 17:00 CET 28 May 2026.

Source: Citi Research

SSAs still look relatively attractive on outright basis. Whilst SSA-EGB spreads have hardly moved in the past month and look somewhat uninspiring, outright yields, on the hand, look much more interesting. The front-end has led the sell-off as the market has started pricing in central bank hikes to counter the expected increase in inflation. At longer maturities, outright rates have also increased, albeit to a lesser extent, and curves have bear-flattened since the start of the year. Whilst SSA outright yields have rallied 5-15bp in May, **the long-end yields are still at historically elevated levels close to, or even above 4%, for some issuers (Figure 12).**

Figure 12. Whilst SSA-EGB spreads have not moved much in the past month, SSAs look more interesting on outright basis (current 2-30y SSA and EGB benchmark yields and YTD changes; bp)

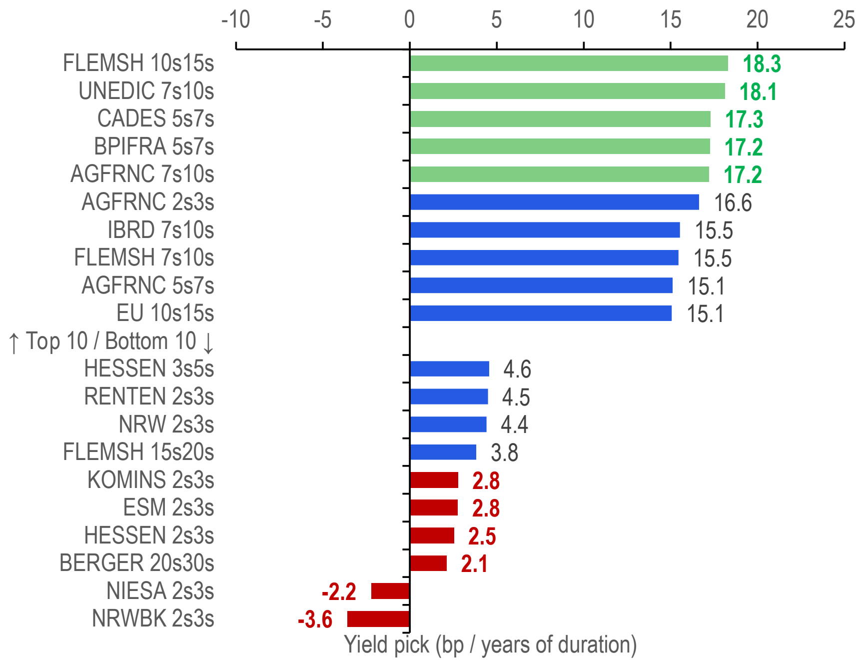
Yields (%)									Change							
									YTD	YTD	YTD	YTD	YTD	YTD	YTD	YTD
	2Y	3Y	5Y	7Y	10Y	15Y	20Y	30Y	2Y	3Y	5Y	7Y	10Y	15Y	20Y	30Y
EU	2.66	2.72	2.89	3.08	3.38	3.71	3.95	4.08	36		14			7		2
EIB	2.62	2.70	2.83	3.02	3.17	3.33			35					3		
EFSF	2.68	2.71	2.89	3.10	3.30	3.42			35					0		
ESM	2.68	2.70	2.83	2.98	3.18				37	30		10				
IBRD			2.84	3.02	3.17		3.71				13	3	1		-7	
IDAWBG			2.84	2.98	3.35	3.57	3.74	3.97			21	7	-3		-7	-18
COE	2.73	2.84	2.90	3.01	3.17				33	21	12		1			
KFW	2.64	2.69	2.82	2.96	3.16				35							
RENTEN	2.70	2.72	2.89	2.98	3.20				36	31	14	6				
NRWBK	2.79	2.77	2.85	3.04	3.22				34	27	17	5	2			
NRW	2.75	2.77	2.88	3.04	3.23	3.53		3.76	33	25		3				
BERGER	2.76	2.80	2.88	3.02	3.19	3.61	3.65	3.74	38	28	15		2	-7		-19
HESSEN	2.78	2.79	2.86	3.10	3.21	3.48			35	29		4		-6		
NIESA	2.77	2.76	2.88	3.09	3.21				38							
BNG	2.72	2.76	2.92	3.04	3.28				34	27	13	7				
NEDWBK		2.78	2.93	3.10	3.24		3.83			21	12	2	-2		-10	
FLEMSH		2.81	3.19	3.40	3.63	4.02	4.26			31	10	8		5	7	
CADES	2.79	2.83	3.13	3.34					32	28	13					
UNEDIC		2.81	3.23	3.38	3.76					32		8				
BPIFRA	2.91	2.94	3.09	3.43	3.71				27	25	12	6				
AGFRNC	2.96	3.12	3.18	3.54	3.81	4.12			30	20	17			3		
KUNTA	2.66	2.75	2.96	3.06	3.26				36	22	6		-2			
FINNVE		2.82	2.88							23	18					
KOMINS	2.71	2.73							26							
SEK					3.28								-5			

Note: Pricing as of 17:00 CET 28 May 2026.
Source: Citi Research

We assess the attractiveness of different parts of the € SSA yield curves by adjusting the yield pick-up for the increase in duration from the extension. To assess the attractiveness of the different parts of the SSA curves, we split their benchmark curves into increments to compare the incremental yield offered by each extension. Obviously, extending from 2y to 3y is not the same as extending from 10y to 15y. **To make the curve extensions comparable, we normalize them by the increase in duration each of them would entail** (for example, yield pick-up of a 3y5y extension divided by the increase in duration from 3y to 5y). This provides an overview of the yield pick-up per year of duration accounting for differences in maturity. Finally, we then rank the normalized yield pick-up splitting the results for the top 10 and bottom 10 extensions.

The normalized yield pick-up is the lowest for short-dated German SSAs and the highest for 5-10y French agencies. Among the top and bottom 10 curve extensions, all but two (NRWBK and NIESA 2s3s) offer a positive yield pick-up when adjusted for the increase in duration. Notably, most of the extensions offering the least pick-up in yield are in short-dated German Länder and agency bonds. On the other side, six of the ten curve extensions offering the best duration-adjusted pick-up in yield are in French agencies in 5-7y and 7-10y owing to the steepness of French agency curves. Notably, from the extensions further out on the curve, only EU 10s15s and FLEMSH 10s15s made it in the top 10 when adjusted for the increase in duration (**Figure 13**).

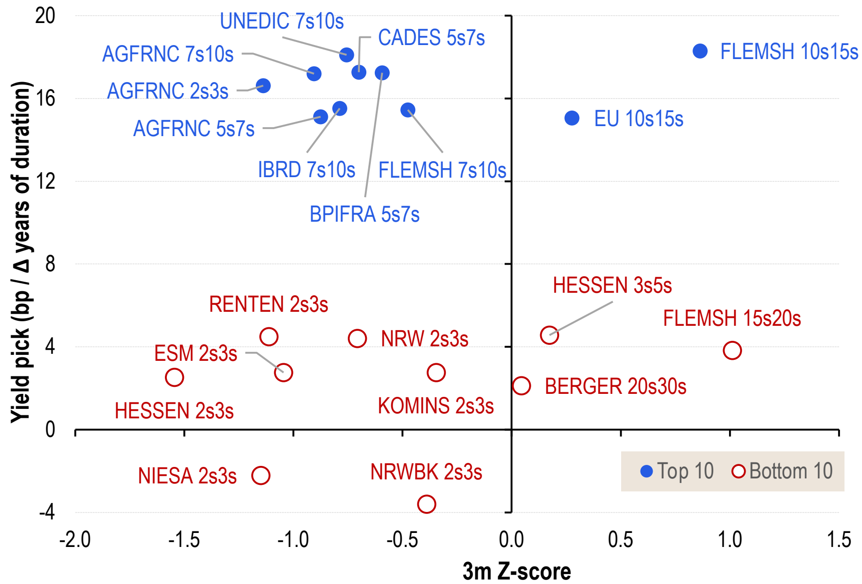
Figure 13. The normalized yield-pick-up is the lowest for short-dated German SSAs and the highest for 5-10y French agencies (yield pick-up per year of duration; bp)



Note: Pricing as of 17:00 CET 28 May 2026.
Source: Citi Research

AGFRNC 7s10s looks attractive among French agencies. To add another dimension to our analysis, we also plot the top and bottom 10 duration-adjusted extension trades versus their 3m Z-scores. Interestingly, whilst the largest yield moves were in the short end of € SSAs curves, only the two longer dated extensions (FLEMSH and EU 10s15s) exhibit positive 3m Z-scores (0.9 for FLEMSH and 0.3 for the EU). Among the French agencies, AGFRNC 7s10s, UNEDIC 7s10s, and CADES 5s7s screen most favorably. Of these, **AGFRNC 7s10s look the most attractive** as it is the most advanced with its funding (85% according to our data, compared with 84% for CADES, 80% for UNEDIC, and just 19% for BPIFRA), it has already issued in 7y and 10y this year and it trades about 24bp over OATs in 7-10y (**Figure 11**). However, it must be noted that AGFRNC is not LCR-eligible and hence not suitable for bank treasuries, even if it would look attractive on the above basis.

Figure 14. Among French agencies, AGFRNC 7s10s look attractive given its issuance progress (yield pick-up per year of duration (bp) versus 3-month Z-score of the extensions)



Note: Pricing as of 17:00 CET 28 May 2026. This framework is only one factor we use in assessing curves, and instruments contained herein should not be considered trade ideas.

Source: Citi Research

We will expand the framework to include EMU-11 EGBs in the future. The above shows a simple framework to assess the attractiveness of € SSA yield curves. For now, **we keep the AGFRNC 7s10s trade on our radar**. In the future, we will include EMU-11 EGBs in the framework and expand it to include the ranking also on swap spread basis.

Tradesheet

Recommended trades

Figure 15. Open Trades

Trade	Entry Date	Entry level	Live[1]	MTM Level[2]	Target	Stop	Carry 3m (bp)	PnL (bp)	Reasonable basis and risks
EUR rates									
Pay 3m2s10s30s in conditionally bearish format	04-May-26	0.0	1.4	1.4	40.0[3]	0.0[3]		1	**Rationale:** Attractive entry level for re-escalation of ME conflict. **Risk:** Belly driven duration rally.
Buy 3y1y EE basis*	15-Jul-24	10.1	14.1	14.1	20.0	12.0		4	**Rationale:** Portable bearish exposure to front-end. **Risk:** Tighter 3m spot basis.
EMU spreads									
Buy BTP Feb31-Dec32-Aug35 YYS fly	15-Jan-26	-6.75	-11.19	-11.19	-16.75	-1.75	0	4	**Rationale:** Sector cheap on the curve. **Risk:** Heavy supply.
Long OLO Jun53 vs RAGB Oct53	04-Dec-25	44.2	54.2	54.2	15.0	58.8	0.0	-10	**Rationale:** PGB supply headwinds giving way to supports. **Risk:** Far-right surge in Sunday's Portugal election.
Long PGB Jun40 vs Bono Jul39	04-Dec-25	-3.3	-1.9	-1.9	-17.0	3.6	0	-1	**Rationale:** PGB fundamentals warrant tighter spread to Bonos. **Risk:** OATs to Bonos substitution.
BTP Oct53-Feb35 flattener vs RAGB Oct53-Oct36	10-Jul-25	46	40.6	40.6	32.0	53.0	-0.4	4	**Rationale:** Likely increased demand and limited supply for 30yr BTP. **Risk:** Attraction of IK futures in 10yr.
GBP rates									
Pay 3m10s30s SONIA in conditional bearish format	12-May-26	0.0	0.9	0.9	60.0[3]	32.0[3]		1	**Rationale:** Political uncertainty weighing on duration absorption. **Risk:** Front-end driven flattening.
Receive Jul26 MPC SONIA vs pay Jul26 ECB €STR+	05-May-26	174.0	160.2	160.2	145.0	170.0		14	**Rationale:** BoE less likely to hike than ECB without energy escalation. **Risk:** De-escalation means neither hike.

Figure 16. Open Trades (continued)

Trade	Entry Date	Entry level	Live[1]	MTM Level[2]	Target	Stop	Carry 3m (bp)	PnL (bp)	Reasonable basis and risks
EUR SSAs and covered bonds									
Buy HESSEN 0% Nov30s and sell KFW 0% Sep30s	04-Dec-25	13.9	12.2	12.2	5	20	0.7	3	**Rationale:** KFW looks historically rich versus HESSEN and given how tight 5y KFW already trades versus Bunds, we believe it does not have much further room to tighten. **Risk:** Deterioration of Länder finances pushing their funding needs higher.
Buy FINNVE 2.875% Aug29s and sell KUNTA 2.875% Jan28	04-Dec-25	13.3	14.4	14.4	5	18	0.3	-1	**Rationale:** FINNVE trades too wide versus KUNTA when considering their equal regulatory treatment and its much lower funding needs. **Risk:** Higher-than-usual funding plan for FINNVE, and/or higher share of funding needs sourced through € issuance.
Buy AGFRNC 0.5% May30 and sell UNEDIC 0.875% May28	04-Dec-25	36.0	32.0	32.0	25	42	1.0	6	**Rationale:** UNEDIC's trades too tight versus AGFRNC given its funding needs will increase significantly in 2026. **Risk:** Further reduction in WAM of AGFRNC's supply and/or eruption of political risk in France.

As at 16:30 London 28 May 2026. [1] Trade level if initiated today. [2] The level of our trade marked to market today. [3] Refers to the level of the spot curve. *Target changed to 20 from 15 (9Mar26) and stop changed to 12 from 10 (9Mar26) and from 7.5 (4Dec25). + Target changed to 145 from 158 and stop changed to 170 from 182 on 21May26.
This table does not include trades subject to a restriction. The table might be incomplete due to legal reasons.
Source: Citi Research, Bloomberg.

Figure 17. Open trades cumulative PnL and 1yr rolling closed trades PnL (bp)

Book PnL	26
Closed Trades PnL	155
Total PnL	180
Book 3m carry	2

As at 16:30 London 28 May 2026. [1] Trade level if initiated today. [2] The level of our trade marked to market today. This table does not include trade ideas subject to a restriction.
Source: Citi Research, Bloomberg.

Recommended and closed trades over the past 12 months

Figure 18. Closed trades

Trade	Close Date	Entry level	Live	Closing MTM Level	Target	Stop	Carry 3m (bp)	PnL (bp)	Reasonable basis and risks
Receive Jun26 SONIA MPC	Take profit 17-Apr-26	3.9	3.8	3.8	3.7	4.0		9	Rationale: A hike is unlikely given the potential damage to jobs/growth. Risk: The Governor is outvoted.
OLO Jun57–Jun43 flattener vs OAT May56–Jun44	Hit target 02-Apr-26	9	-1	-1	-1	14	0.0	10	Rationale: Receding OLO supply should allow reduction in fiscal risk premium. Risk: Overseas demand in OATs
€ 3m 2s5s10s conditional bear tightener	Take profit 26-Mar-26	0.0	11.0	11.0	-163	3		11	Rationale: Attractive vol pick-up with bearish bias. Risk: Belly rates driving the curve in a selloff
Buy EU 3.375% Oct39s and sell RAGB 3.2% Jul39s (on OISS)	Hit stop 24-Mar-26	16	22.0	22.0	3	22	0.4	-6	Rationale: Austria is trading too tight versus EU, despite its weaker ratings and elevated budget deficit. Risks: Higher-than-expected funding need by the EU in 2026 and/or higher share of 15y+ supply.
Long BTP Feb36 vs OAT Nov35	Hit stop 20-Mar-26	8	15.0	15.0	-5	15		-7	Rationale: Hopes of calmer energy markets and into the French municipal elections. Risk: Renewed risk-off sentiment stemming from events in the Middle East.
Buy 30yr gilts vs Bunds	Hit stop 20-Mar-26	181	202.0	202.0	140	202	0.0	-21	Lack of 30yr gilt issuance in Q1 vs higher issuance and Dutch PF risk for Bunds. Risk: Labour leadership challenge and DMO adds to Longs for FY26/27.
Receive July €STR ECB	Hit stop 19-Mar-26	2	2.4	2.4	2	2		-13	Rationale: ECB unlikely to hike into a potential growth shock. Risk: ECB language is knee-jerk hawkish and/or a further spike in oil prices.
Buy BTP Dec32-Oct39 forward yield vs DBR Feb33-May38	Hit stop 19-Mar-26	107	125.5	125.5	70	126	0.0	-19	Rationale: Rating upside not in the price. Risk: Risk-off.
3m1y 1x2 receiver spreads in costless format	Change of view 11-Mar-26	0	0.0	0.0	220	200		0	Rationale: Position for a moderate rally in € front-end while taking advantage of historically rich receiver skew. Risk: The spot rate rallying below 212.4bp.
SFI H6/Z6 flattener	Hit stop 09-Mar-26	-17	0.0	0.0	-50	0		-17	Rationale: Positioning for a deeper BoE terminal rate. Risk: Inflation persistence removes even the small amount of cut premium.
Mar26/Apr26 MPC SONIA flattener	Hit stop 09-Mar-26	-5	0.0	0.0	-15	0		-5	Rationale: The market is placing too much weight on a March cut over an April cut ahead of key data. Risk: A dovish round of data further increases the chance of an earlier cut in March.
Buy BTP Oct27 (target/stop in PnL terms)	Hit stop 03-Mar-26	2	2.4	2.4	20	10	8.0	-10	Rationale: Carry trade. Risk: The market prices out the remaining 3bp of ECB rate cuts.
€ 6m 5s30s conditional bull steepener	Hit stop 03-Mar-26	0	0.0	0.0	80	55		0	Rationale: Attractive entry level to position for cross-market spillover. Risk: Bull flattening.
Buy NRWBK 2.5% Sep37s Social bond versus EU 0.4% Feb37 Green bond	Hit target 03-Mar-26	9	2.0	2.0	2	13	0.5	7	Rationale: NRWBK trades cheap versus the EU given its limited issuance needs and funding progress whereas EU is much less advanced and its funding needs could be subject to upside risks. Risks: Higher share of benchmark and/or EUR issuance by NRWBK, EU's funding needs remain broadly unchanged.
Buy EU 3.375% Oct38s and sell EFSF 3.375% Aug38s	Change of view 26-Feb-26	13	13.2	13.2	0	20	0.3	1	Rationale: EFSF is trading too tight versus the EU given its lower rating and EU's better liquidity. Risks: New issuance programmes by the EU keeping the pressure on its curve.
Sell RX/UB box vs 6s for March delivery	Take profit 25-Feb-26	-30	-37.7	-37.7	-45	-22		7	Rationale: Cheap long vol exposure. Risk: Germany underdelivering on fiscal plans.
Euribor U6/U8 steepener	Hit stop 23-Feb-26	43	32.0	32.0	65	32		-11	Rationale: Potential underpricing of fiscal impacts. Risk: Fiscal may not be sufficient to create excess demand.
Long IL33 break-even inflation	Hit-in profit stop 09-Feb-26	274	285.0	285.0	305	285	-5.8	5	Light IL supply in 1Q26 and risk from politics and wage round. Risk: Falling spot inflation weighs on inflation expectations.
Short DSL Jul34-OAT Nov34- OLO Oct34 fly	Hit stop 22-Jan-26	77	69.0	69.0	92	69	-2.7	-9	Near-term political risk and medium-term fiscal risk. Risk: Broader risk-off.
Sell 5yr gilt ASW (UKT Mar31)	Hit stop 08-Jan-26	38	33.5	33.5	46	34	-2.7	-5	Persistent supply pressure and political uncertainty in mid-2026. Risk: Risk-off event
Feb26-Mar26 €STR ECB flattener	Change of view 08-Jan-26	-3	-1.0	-1.0	-15	3		-2	Weaker growth may prompt the ECB to resume easing. Risk: fiscal stimulus pulls forward hike premium.
Pay 1y1y NOK vs SEK	Hit target 30-Dec-25	147	167.0	169.0	167	137		20	Rationale: Risk to central banks' pricing. Risk: Dovish shift from the Norges Bank.
BTP Oct35 - Sep27 YYS steepener	Hit stop 18-Dec-25	71	65.8	65.8	81	66	1.3	-5	Tactical short BTP spread widener given rich valuations into January supply pricing, expressed via a positive-carry proxy. Risk: Further risk asset rally.
Buy NEDWBK 1% Mar28s and sell NEDWBK 0.625% Jan27s (on OISS)	Year end close 04-Dec-25	13	6.7	6.7	2	19	2.1	14	Rationale: The dislocation in NEDWBK's 2s3s credit curve versus BNG's 2s3s looks too much and we believe it will correct soon. Risks: Short-dated € issuance in 3y by NEDWBK causing further steepening of its 2s3s credit curve towards BNG's.
Buy HESSEN 3.25% Oct28s and sell KFW 1.25% Jun27s	Year end close 04-Dec-25	19	16.3	16.3	8	24	2.6	8	Rationale: Front-end KFW paper is rich versus slightly longer Länder bonds, and the switch offers an attractive spread pick-up with positive carry. Risks: Further tightening of front-end KFW spreads, steepening of Länder curves.
Buy PGB Feb45 vs Bono Jul43	Year end close 04-Dec-25	-13	-8.2	-8.2	-28	-6	-0.6	-6	PGB supply headwinds giving way to supports. Risk: Far-right surge in Sunday's Portugal election.
DSL Jan29-Jan54 steepener vs swaps	Year end close 04-Dec-25	48	43.4	43.4	60	42	0.6	-6	Steepening potential into pension fund transition. Risk: Bund issuance concerns. Risk: Attraction of IK futures in 10yr.
Sell OAT May55 vs BTP Oct55	Year end close 04-Dec-25	13	1.9	1.9	-10	24	0.5	11	Near-term political risk and medium-term fiscal risk. Risk: Broader risk-off.
Sell Bono Jul43 vs Bund Jul44 and BTP Apr46	Hit stop 26-Nov-25	32	24.5	24.5	47	25	-0.8	-8	Steepening potential into pension fund transition. Risk: Bund issuance concerns. Risk: Attraction of IK futures in 10yr.
OAT May55-Nov35 steepener vs RFGB Apr55-Sep35 flattener	Change of view 26-Nov-25	15	16.0	16.0	30	8	0.9	1	Steepening potential into pension fund transition. Risk: Bund issuance concerns. Risk: Attraction of IK futures in 10yr.
Buy RFGB Apr45 vs Bund Jul44	Take profit 18-Nov-25	50	37.0	37.0	35	58	1.0	15	FAN cheap vs periphery and 20yr cheap on the curve. Risk: Tariff re-escalation.
SFI Z5/Z6 flattener	In-profit stop 14-Nov-25	-19	-32.0	-32.0	-55	-32		17	The fiscal outlook/timetable could prompt an easing cycle into 2026 to a lower terminal rate. Risk: The hard data breaks earlier and the BoE cuts accelerates this year.
Sell OLO Jun55-RAGB Oct53-Bund Aug54 fly	Hit stop 14-Nov-25	-5	-10.0	-10.0	5	-10	-0.5	-5	Steepening potential into pension fund transition. Risk: Bund issuance concerns. Risk: Attraction of IK futures in 10yr.
Buy gilt 4.5% Mar35 vs OAT 3.2% May35	Take profit 06-Nov-25	128	105.7	105.7	100	120	-2.0	22	To hedge French political escalation and a gilt positive Budget. Risk: French political risk dissipates
Buy 1x2 payer spread on EUR 3m10y at zero cost	Expired 24-Oct-25	0	0.0	0.0	10	-5		0	Selling rich payer skew. Risk: spot rate exceeds 3%.
GBP 3m 10s30s conditional bull steepener in costless format	Expired 15-Oct-25	0	2.0	2.0	70	40		2	10y drives curve steeper as BoE eventually accomodates fiscal restraint Risk: sharp fiscal consolidation prompts yield grab
Buy OAT Jun44 vs OLO Jun43	Change of view 6-Oct-25	20	21.4	21.4	10	25	0.0	-1	PGB supply headwinds giving way to supports. Risk: Far-right surge in Sunday's Portugal election.
Buy Bono Oct54 vs OAT May54	Hit target 1-Oct-25	0	-25.0	-25.0	-25	13	-0.1	25	Diverging debt trajectories and French political risk. Risk: Heavy front-loading of Bono supply.
3m 2s10s30s conditional bear tightener in costless format	Hit target 5-Sep-25	0	13.6	13.6	30	55		14	Positive carry, lagged the tightening in neighbouring flies. Risk: belly driven selloff.

Data break-down in above table may be incomplete due to legal reasons

NB: Futures trading involves substantial risk of loss. CMBZ trade idea closed 16:30BST on 25 Jul 25. Pay NOK 1y1y vs EUR closed 15:30BST on 22 Aug 25.

Source: Citi Research

Figure 19. Closed trades (continued)

Trade	Close Date	Entry level	Live	Closing MTM Level	Target	Stop	Carry 3m (bp)	PnL (bp)	Reasonable basis and risks
Long Schatz/ESTR for Sep delivery	Hit stop 2-Sep-25	-8	-12.0	-12.0	-4	-12		-4	Summer markets hedge. Risk: cheaper repo rates on dash for cash.
Flatten EUR 6m1y 18m1y	Hit target 27-Aug-25	22	10.0	10.0	10	28	10.2	12	Fading 2026 front-end cheapening. Risk: Bull steepening under hard landing scenario.+
Buy Bono Jul43 vs OLO Jun43	Hit target 25-Aug-25	19.00	0.00	0.00	0.00	28.50	0.4	20	Diverging debt trajectories. Risk: Heavy front-loading of Bono supply.
Pay NOK 1y1y vs EUR	Hit target 22-Aug-25	155	174.6	174.6	175	145	9.0	20	Likelihood of a lower terminal rate greater for the ECB than NB. Risk: Any decline in oil prices given Norway's sensitivity.
Buy ISPIM 1.125% Oct27 covered bonds and sell ISPIM 1% Nov26 senior preferred	Change of view 7-Aug-25	-3	-6.4	-6.4	10	-30		-3	Rationale: The SP-CB spread difference between ISPIM Oct27 covered bonds and Nov26 SP is mispriced with covered bonds trading wider than SP. This represent an easy opportunity to improve rating exposure and regulatory treatment of holdings (covered bonds incur lower risk-weights than SP and are LCR eligible) whilst picking up higher spread. Risks: Continued tightening of SP-CB spread for ISPIM and/or increased focus on covered bond supply instead of SP by the issuer.
Buy CADES 3.125% Mar30s and sell CADES 2.875% May27s	Take profit 7-Aug-25	30	28.1	28.1	15	60	2.5	7	Rationale: CADES is already well advanced with its funding whilst its 2s5s credit curve remains very steep. The roll-down on its curve and carry are also attractive. Risks: Further € issuance in 5y by CADES and/or additional transfers of French social security debt to CADES.
Buy CADES 0% May29 and sell CADES 2.875% May27	Take profit 7-Aug-25	27	27.4	24.8	10	45	4.7	15	Rationale: The current pick-up and the roll-down in 3-5y CADES bonds looks attractive. Risks: Political turmoil in France delaying deficit reduction, which in turn could cause OAT and French SSA swap spreads to widen and credit curves to steepen even more.
Buy RENTEN 0.5% Feb29s and sell KFW 0% Sep26s (on ASW)	Take profit 7-Aug-25	16	15.4	15.4	8	30	6.7	29	Rationale: The steepness of RENTEN's credit curve versus KFW in 2-4y offers an attractive entry point for a short extension trade that offers attractive spread pick-up and additional carry for the same credit risk. Risks: RENTEN increases the share of € and/or KFW reduces the share of € in its funding mix.
Buy IRISH Oct34 vs OLO Oct34	Change of view 7-Aug-25	-19	-19.0	-19.0	-35	11	-1.5	-1	OLOs seem underpriced for tariff risk than IRISH. Risk: Thin Irish liquidity in a high vol environment.
Buy CMZB 2.875% Oct28 covered bonds and sell CMZB 1.5% Aug28 senior preferred	Hit stop 25-Jul-25	-2	-30.0	-30.0	10	-30		-28	Rationale: The SP-CB spread between CMZB Oct28 CBs and Aug28 SP is too tight. CMZB SP should trade wider, not tighter than its CBs and this is an opportunity to improve rating exposure and regulatory treatment of holdings whilst picking up higher spread. Risks: Continued tightening of SP-CB spread for CMZB and/or increased focus on covered bond supply instead of SP by CMZB.
Buy 1x2 3m payer spreads on 2y in costless format	Take profit 24-Jul-25	0	9.9	9.9	17	-5		10	Asymmetric balance of risk around 2y. Risk: Volatile sell-off.
Receive July €STR ECB	Close early at a loss 17-Jul-25	2	1.9	1.9	2	2		-3	Relatively cheap hedge for fresh uncertainty around 9 July tariff deadline. Risk: Early agreement to extend deadline beyond 9 July.
Bono Oct54-Apr34 flattener vs RFGB Apr55-Sep34	Hit target 8-Jul-25	43	30.0	30.0	30	49	-0.4	12	Bono curve too steep on debt/GDP ratio. Risk: Lack of structural buyers of 30yr Bonos.
Sell gilt Jan34 ASW*	Hit in-profit stop 24-Jun-25	28	44.0	44.0	70	44	-2.4	16	Hard to look past ongoing issuance pressure. Risk: year-end impacts, slowing domestic bank demand.
Sell EU 3.375% Oct54s versus swaps	Change of view 23-Jun-25	121	116.9	116.9	130	100	-2.6	-4	Rationale: Long-end swap spread tightening in EU bonds looks overdone given its very long WAM of issuance and usual issuance pattern. Risks: Lower H2 25 funding needs and/or continued reduction on WAM of new issuance by the EU.
ER M5 / Z5 flatteners	Taking profit (early) 29-May-25	-12	-27.5	-27.5	-50	-20		16	Postiion for delay or extension of ECB cuts. Risk: A short/sharp cycle or a long pause at neutral.

Data break-down in above table may be incomplete due to legal reasons

NB: Futures trading involves substantial risk of loss.

Source: Citi Research

European rates forecasts

As published in the latest *Global Economic Outlook & Strategy.*

Figure 20. Interest Rate and Bond Market Forecasts (quarterly average unless specified)

Euro Area	As of 21 May	Current	Q1 26	Q2 26	Q3 26	Q4 26	Q1 27	Q2 27	Q3 27	Q4 27
Policy Rate End Quarter	2.15%	2.15%	2.15%	2.40%	2.65%	2.65%	2.65%	2.65%	2.65%	2.65%
Depo Rate End Quarter	2.00%	2.00%	2.00%	2.25%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
Overnight Rate (€STR) End Quarter	1.93%	1.93%	1.93%	2.19%	2.45%	2.45%	2.46%	2.46%	2.47%	2.47%
3-Month (Euribor) End Quarter	2.20%	2.23%	2.08%	2.33%	2.60%	2.60%	2.62%	2.62%	2.62%	2.62%
2 Year Schatz Yield	2.69%	2.56%	2.21%	2.60%	2.55%	2.45%	2.45%	2.45%	2.55%	2.65%
5 Year Bobl Yield	2.81%	2.66%	2.47%	2.75%	2.70%	2.65%	2.65%	2.65%	2.75%	2.80%
10 Year Bund Yield	3.10%	2.96%	2.86%	3.05%	3.00%	3.00%	3.00%	3.00%	3.10%	3.10%
30 Year Bund Yield	3.62%	3.51%	3.46%	3.55%	3.55%	3.65%	3.70%	3.65%	3.65%	3.65%
2-10 Year Bund Curve	41	40	65	45	45	55	55	55	55	45
10 Year BTP-Bund Spread	74	72	69	76	70	65	70	65	60	55
10 Year Bono-Bund Spread	43	42	43	43	42	40	42	40	40	35
10 Year OAT-Bund Spread	63	61	64	65	60	70	85	85	75	70
10 Year Swap Spread (Swap Less Govt.), bp	3	3	3	3	1	-2	-5	-8	-10	-10
10 Year Breakeven Inflation (swap), bp	231	224	205	225	215	210	210	210	225	225
5y5y Implied vol	70	68	66	70	65	60	55	50	50	50
UK	**As of 21 May**	**Current**	**Q1 26**	**Q2 26**	**Q3 26**	**Q4 26**	**Q1 27**	**Q2 27**	**Q3 27**	**Q4 27**
Policy Rate	3.75%	3.75%	3.75%	3.75%	3.75%	3.75%	3.50%	3.25%	3.25%	3.25%
3-Month SONIA	3.79%	3.79%	3.70%	3.75%	3.70%	3.65%	3.40%	3.20%	3.20%	3.20%
2 Year Treasury Yield	4.38%	4.23%	3.82%	4.45%	4.35%	4.00%	3.65%	3.65%	3.50%	3.50%
5 Year Treasury Yield	4.52%	4.37%	4.01%	4.60%	4.60%	4.30%	4.05%	4.05%	3.80%	3.80%
10 Year Treasury Yield	4.97%	4.81%	4.54%	5.10%	5.25%	5.00%	4.75%	4.75%	4.50%	4.50%
30 Year Treasury Yield	5.64%	5.52%	5.28%	5.80%	6.00%	5.80%	5.60%	5.60%	5.40%	5.35%
2-10 Year Treasury Curve	59	58	72	65	90	100	110	110	100	100
10 Year Swap Spread (Swap Less Govt.), bp	-42	-41	-42	-48	-55	-55	-60	-60	-60	-60
10 Year Breakeven Inflation	353	341	318	350	340	335	325	325	300	300
Scandis	**As of 21 May**	**Current**	**Q1 26**	**Q2 26**	**Q3 26**	**Q4 26**	**Q1 27**	**Q2 27**	**Q3 27**	**Q4 27**
10 Year Switzerland Yield	0.57	0.41	0.31	0.45	0.45	0.45	0.50	0.50	0.50	0.50
10 Year Sweden Yield	2.86	2.75	2.82	2.90	2.90	3.00	3.00	3.00	3.10	3.10
10 Year Norway Yield	4.49	4.35	4.26	4.40	4.30	4.30	4.25	4.25	4.30	4.30

As at 16:30 London 28 May 2026.
Source: Citi Research

Figure 21. 10-Year Yield Spread Forecasts (Period Average), (Basis Points)

	Current	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
France	61	64	65	60	70	85	85	75	70
Italy	72	69	76	70	65	70	65	60	55
Spain	42	43	43	42	40	42	40	40	35
Netherlands	11	9	13	11	12	12	12	12	10
Austria	24	27	27	30	35	35	35	35	35
Finland	34	28	28	30	35	35	35	35	35
Ireland	18	25	22	22	25	25	25	20	15
Portugal	36	37	38	37	35	37	35	33	30
Greece	66	65	72	65	60	65	60	55	55

As at 16:30 London 28 May 2026.
Source: Citi Research

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Appendix A-1

ANALYST CERTIFICATION

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